NOTE 2. Income Taxes

Components of income taxes, excluding equity in net results of affiliated companies accounted for after-tax:

Income/(loss) before income taxes (in millions)

	2001	2000	1999
U.S.	$(6,015)	$ 9,559	$9,299
Non-U.S.	(1,085)	(1,241)	537
Total	$(7,100)	$ 8,318	$9,836

Provision for income taxes (in millions)

Current:			
Federal	$ 22	$ 154	$ 491
Non-U.S.	103	760	727
State and local	-	116	117
Total Current	125	1,030	1,335
Deferred:			
Federal	(2,126)	2,617	2,178
Non-U.S.	(248)	(1,153)	(455)
State and local	98	211	190
Total Deferred	(2,276)	1,675	1,913
Total	$(2,151)	$ 2,705	$3,248

Reconciliation of effective tax rate

U.S. statutory rate	35 %	35 %	35 %
Non-U.S. income taxes	(2)	(2)	(2)
State and local income taxes	(1)	3	2
Other	(2)	(3)	(2)
Effective rate	30 %	33 %	33 %

Deferred taxes at December 31 (in millions)

	2001	2000
Deferred tax assets		
Employee benefit plans	$ 5,895	$ 5,138
Dealer and customer allowances and claims	1,919	2,364
Allowance for credit losses	1,518	1,067
Other foreign deferred tax assets	2,251	1,403
All other	5,966	2,782
Total deferred tax assets	17,549	12,754
Deferred tax liabilities		
Leasing transactions	8,213	8,306
Depreciation and amortization (excluding leasing transactions)	3,571	3,447
Finance receivables	2,388	2,593
All other	5,084	2,153
Total deferred tax liabilities	19,256	16,499
Net deferred tax liabilities	$ 1,707	$ 3,745

No provision for deferred taxes has been made on $860 million of unremitted earnings (primarily prior to 1998) which are considered to be indefinitely invested in non-U.S. subsidiaries. Deferred taxes for these unremitted earnings are not practicable to estimate.

Non-U.S. net operating loss carryforwards for tax purposes were $3.5 billion at December 31, 2001. A substantial portion of these losses has an indefinite carryforward period; the remaining losses will begin to expire in 2003. Tax benefits of operating loss carryforwards are evaluated on an ongoing basis, including a review of historical and projected future operating results, the eligible carryforward period, and other circumstances.